

Amendment No. 1 to SB0765

Gardenhire
Signature of Sponsor

AMEND Senate Bill No. 765

House Bill No. 745*

by deleting all language after the enacting clause and substituting:

SECTION 1. Tennessee Code Annotated, Section 26-2-203, is amended by deleting subsection (b) and substituting:

(b) The summons to the garnishee must notify the garnishee as follows:

NOTICE — Although you have a longer time in which to answer the court concerning this garnishment, you must, within two (2) business days after the day you receive the garnishment, determine if you possess or control money or property of the judgment debtor and place a hold on any available funds. Within that same time period of two (2) business days, you must furnish a copy of the garnishment summons and Notice to Judgment Debtor by mailing them first class, postage prepaid, to the judgment debtor's last known address as shown by your records, or by actual delivery to the judgment debtor, but in no event shall you furnish the copy of the garnishment and Notice to Judgment Debtor prior to placing a hold on all available funds in your possession or control. If the address shown by your records differs from that shown on this execution form, you must also mail a copy of the garnishment and notice to the latter address.

SECTION 2. Tennessee Code Annotated, Section 26-2-203, is amended by inserting the following as a new subsection (b) and redesignating the existing subsection (b) and remaining subsections accordingly:

(b) Notwithstanding another law or rule to the contrary, a garnishee must, within two (2) business days after the day the garnishee receives a garnishment, determine if

the garnishee possesses or controls money or property of the judgment debtor, and furnish a copy of the garnishment summons and notice to judgment debtor as provided in subsection (c), but in no event shall a garnishee furnish the required information to the debtor prior to placing a hold on all available funds in the garnishee's possession or control.

SECTION 3. Tennessee Code Annotated, Section 26-2-405, is amended by deleting the section and substituting:

Notwithstanding another law or rule to the contrary, a garnishee must be the only party to furnish a copy of the garnishment summons and notice to judgment debtor to the judgment debtor as provided for in § 26-2-203.

SECTION 4. Tennessee Code Annotated, Section 26-2-406, is amended by deleting the section and substituting:

A sheriff or other officer who summons a garnishee shall provide the garnishee with copies of the garnishment summons providing the completed notice required by § 26-2-404 or by § 26-2-216, whichever is applicable. Within two (2) business days after the day the garnishee receives the summons, the garnishee shall determine if such garnishee possesses or controls money or property of the judgment debtor; and if so, within that same time period the garnishee shall furnish a copy of the garnishment summons and notice by mailing them first class, postage prepaid, to the judgment debtor's last known address as shown by the garnishee's records, or by actual delivery to the judgment debtor, but in no event shall the garnishee furnish a copy of the garnishment and notice to judgment debtor prior to placing a hold on all available funds in the garnishees possession or control. If the address as shown by the garnishee's records differs from that provided by the creditor as shown on the bottom of the completed notice, then the garnishee shall also mail a copy of the garnishment and notice to judgment debtor at the latter address by first class mail, postage prepaid.

SECTION 5. Tennessee Code Annotated, Section 47-3-416(b), is amended by adding the following at the end of the subsection:

If the person to whom the warranties are made sends written notice by certified or registered mail or commercial courier to the warrantor of the person's claim for breach of warranty and the warrantor fails to pay the claim within thirty (30) days after receiving the notice, then the expenses of the person to whom the warranties are made must include reasonable attorney fees.

SECTION 6. Tennessee Code Annotated, Section 47-3-417(b), is amended by inserting the following between the second and third sentences:

If the drawee making payment sends written notice by certified or registered mail or commercial courier to the warrantor of the drawee's claim for breach of warranty and the warrantor fails to pay the claim within thirty (30) days after receiving the notice, then the expenses of the drawee to whom the warranties are made must include reasonable attorney fees.

SECTION 7. Tennessee Code Annotated, Section 47-4-207(c), is amended by adding the following at the end of the subsection:

If the person to whom the warranties are made sends written notice by certified or registered mail or commercial courier to the warrantor of the person's claim for breach of warranty and the warrantor fails to pay the claim within thirty (30) days after receiving the notice, then the expenses of the person to whom the warranties are made must include reasonable attorney fees.

SECTION 8. Tennessee Code Annotated, Section 47-4-208(b), is amended by inserting the following between the second and third sentences:

If the drawee making payment sends written notice by certified or registered mail or commercial courier to the warrantor of the drawee's claim for breach of warranty and the warrantor fails to pay the claim within thirty (30) days after receiving the notice, then the

expenses of the drawee to whom the warranties are made must include reasonable attorney fees.

SECTION 9. This act takes effect upon becoming a law, the public welfare requiring it, and applies to acts occurring on or after the effective date of this act.